

U.S. Multi Industry & Electrical Equipment

US Industrials (August): What's driving mfg. activity? Broad-based growth or second-order data center exposure?



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Manufacturing PMI has been >50 for the last two quarters after an extended period of weakness. Manufacturing Industrial Production (IP) has also continued to tick upwards along with it. Multiple companies in the industrial complex have shown strong order growth in the recent print, giving investors hope that a broad-based industrial recovery is currently underway (thereby enabling investors to participate in growth ex-AI). However, there has also been skepticism from others who believe this is all second-order demand driven by data centers. In this note, we attempt to parse out how much of an impact data center and adjacent sectors contribute to this uptick in industrial demand and how much is truly a broader recovery.

The manufacturing IP index (a measure of volume / real growth) has grown by ~4% annualized over the last 6 months when the long-term average of real GDP growth is generally closer to ~2% and manufacturing IP growth is flattish to <1%. So optically, we are running far higher than historical averages. **However, ~90% of growth is concentrated in sectors that account for <25% of the total index, and the overwhelming majority of which are exposed directly or indirectly to data centers.**

We estimate **160 bps of this 4% comes from sub-sectors heavily weighted to data centers** (specifically semiconductors, commercial HVAC, engines and turbines, batteries, cement and concrete used for construction). Another **160 bps comes from the auto sector, specifically (weighted towards light trucks used by businesses)**. These tend to be pickups, vans, SUVs used by construction teams, repair technicians, last-mile fleets, rental car companies, and other small businesses. The latter three buckets show limited growth (the focus has been on driving more efficient asset usage, cost pressures) which then implies demand is concentrated in construction and repair - both of which skew heavily towards DCs (DC construction spend was up ~\$30B YoY in June 2026, compared to declines in other non-resi and residential spend over the same period). **The last major driver is aerospace which contributes ~50 bps** given broader tailwinds in the sector across both commercial and defense. **The remaining 75% of index weights for IP account for only ~50 bps of growth**, largely in line with historical averages. Sectors with heavy weighting in the index show flattish to negative growth (e.g., chemicals, food and beverage) and while there are components that outperform they're usually too small to move the needle.

Given AI capex numbers continue to tick upwards, we do not necessarily think this is a bad thing for the broader industrials complex but we clearly see that sub-sectors exposed to DCs continue to drive the bulk of the growth. So for investors playing the space, it is important to acknowledge that this will continue to be heavily-linked to AI capex (and therefore exposed to any spending slowdown from hyperscalers). **Our key takeaway is more that buying short-cycle names in this environment does not mean that investors are participating in a broadening of sectoral growth or reduce exposure to the broader AI trade. Caveat emptor!**

BERNSTEIN TICKER TABLE

Ticker	Rating	2 Sep 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
VRT (Vertiv)	O	USD	256.70	368.00	87.5%	USD	4.20	6.60	9.06	61.2	38.9	28.3
NVT (nVent)	O	USD	148.17	229.00	46.1%	USD	3.34	5.15	6.55	44.3	28.8	22.6
JCI (Johnson Controls)	O	USD	139.25	190.00	11.9%	USD	3.78	5.09	6.35	36.8	27.4	21.9
TT (Trane)	O	USD	439.02	575.00	(12.7)%	USD	13.06	15.28	17.79	33.6	28.7	24.7
CARR (Carrier)	M	USD	57.58	78.00	(28.8)%	USD	2.57	2.85	3.29	22.4	20.2	17.5
HON (Honeywell)	M	USD	206.07	264.00	(23.6)%	USD	6.46	8.37	10.55	31.9	24.6	19.5
EMR (Emerson)	O	USD	148.98	186.00	(6.1)%	USD	6.00	6.55	7.23	24.8	22.8	20.6
ROK (Rockwell)	M	USD	425.36	514.00	6.4%	USD	10.47	13.13	14.53	40.6	32.4	29.3
PH (Parker Hannifin)	O	USD	949.38	1,218.00	7.1%	USD	32.31	35.13	38.68	29.4	27.0	24.5
MMM (3M)	U	USD	168.75	145.00	(10.1)%	USD	8.06	8.94	9.45	20.9	18.9	17.9
OTIS (Otis)	O	USD	70.83	90.00	(36.9)%	USD	4.05	4.05	4.52	17.5	17.5	15.7
AGCO (AGCO)	M	USD	126.69	98.00	(0.8)%	USD	5.29	5.62	7.17	24.0	22.5	17.7
CAT (Caterpillar)	M	USD	792.28	1,002.00	70.9%	USD	19.08	26.95	31.53	41.5	29.4	25.1
CNH (CNH Industrial)	M	USD	13.65	9.00	2.4%	USD	0.55	0.44	0.60	24.7	30.7	22.6
CMI (Cummins)	M	USD	550.90	700.00	19.9%	USD	20.51	30.41	32.39	26.9	18.1	17.0
DE (Deere)	M	USD	698.37	580.00	27.0%	USD	18.51	18.02	19.93	37.7	38.8	35.0
ETN (Eaton)	O	USD	390.85	534.00	(5.8)%	USD	12.07	13.45	16.37	32.4	29.1	23.9
HUBB (Hubbell)	O	USD	450.08	584.00	(14.9)%	USD	18.33	20.50	24.03	24.5	22.0	18.7
J (Jacobs)	O	USD	147.08	163.00	(18.2)%	USD	6.12	7.28	8.65	24.0	20.2	17.0
LGN (Legence)	O	USD	51.35	103.00	NA	USD	298.82	575.39	627.40	22.9	11.9	10.9
OSK (Oshkosh Corp)	M	USD	152.89	138.00	(8.5)%	USD	10.78	11.00	14.39	14.2	13.9	10.6
PCAR (Paccar)	O	USD	122.13	148.00	5.6%	USD	5.01	5.91	7.23	24.4	20.6	16.9
PWR (Quanta Services)	M	USD	610.78	748.00	43.5%	USD	10.75	16.90	19.24	56.8	36.1	31.8
TTAM (Titan America)	M	USD	14.88	17.00	(21.0)%	USD	389.66	411.90	472.37	8.3	7.9	6.9
TRMB (Trimble)	O	USD	59.11	73.00	(44.3)%	USD	3.14	3.67	4.30	18.8	16.1	13.8
URI (United Rentals)	O	USD	979.82	1,317.00	(17.3)%	USD	42.11	49.29	56.74	23.3	19.9	17.3
FERG (Ferguson)	O	USD	221.23	325.00	(23.2)%	USD	10.58	11.40	12.40	20.9	19.4	17.8
FAST (Fastenal)	U	USD	47.93	42.00	(22.1)%	USD	1.09	1.25	1.35	43.8	38.3	35.4
GWW (Grainger)	M	USD	1,284.85	1,250.00	6.9%	USD	39.48	46.83	50.36	32.5	27.4	25.5
SIE.GR (Siemens)	O	EUR	273.30	330.00	0.8%	EUR	12.23	11.29	11.64	27.4	23.6	22.2
SU.FP (Schneider)	O	EUR	286.75	350.00	17.8%	EUR	8.43	10.42	13.24	34.0	27.5	21.7
ATCOA.SS (Atlas Copco)	O	SEK	198.65	240.00	16.4%	SEK	6.04	6.68	8.38	32.9	29.7	23.7
KNEBV.FH (Kone)	O	EUR	51.58	60.00	(22.2)%	EUR	1.89	2.04	2.58	27.3	25.2	20.0
SCHP.SW (Schindler)	M	CHF	258.20	290.00	(29.5)%	CHF	9.42	9.83	10.72	29.1	27.9	25.6
NEX.FP (Nexans)	M	EUR	137.70	150.00	(10.1)%	EUR	5.15	7.91	9.95	26.7	17.4	13.8
PRY.IM (Prysmian)	M	EUR	119.10	145.00	43.2%	EUR	4.30	4.78	6.17	27.7	24.9	19.3
ASSAB.SS (Assa Abloy)	M	SEK	350.50	385.00	(11.0)%	SEK	13.24	15.49	17.20	26.5	22.6	20.4
LR.FP (Legrand)	O	EUR	134.55	170.00	(12.5)%	EUR	5.22	6.13	6.86	25.8	21.9	19.6
RXL.FP (Rexel)	O	EUR	35.43	44.00	11.7%	EUR	2.27	2.66	3.15	15.6	13.3	11.3
UNP (Union Pacific)	O	USD	289.73	346.00	11.0%	USD	11.68	12.82	14.52	24.8	22.6	20.0
CSX (CSX)	M	USD	48.65	48.00	31.6%	USD	1.61	2.05	2.16	30.2	23.8	22.5
NSC (Norfolk Southern)	O	USD	330.06	396.00	(0.9)%	USD	12.50	12.64	14.12	26.4	26.1	23.4
CNR.CN (Canadian Natl Railway)	M	CAD	168.21	196.00	6.8%	CAD	7.63	7.93	8.93	22.1	21.2	18.8
CNI (Canadian Natl Railway)	M	USD	121.45	139.16	6.2%	USD	5.46	5.63	6.34	22.3	21.6	19.2
CP.CN (Canadian Pac. Kansas City)	M	CAD	124.02	144.00	(1.7)%	CAD	4.61	5.15	5.92	26.9	24.1	20.9

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CNH, SIE.GR, KNEBV.FH, SCHP.SW, ASSAB.SS estimate is Reported EPS; LGN, TTAM estimate is EBITDA (M); ATCOA.SS estimate is Adjusted EPS FCF (M); CNH, KNEBV.FH, SCHP.SW valuation is Reported P/E (x); LGN, TTAM valuation is EV/EBITDA (x); PH, FDX base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

Ticker	Rating	Cur	2 Sep 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
CP (Canadian Pac. Kansas City)	M	USD	89.54	102.24	(2.3)%	USD	3.30	3.66	4.21	27.1	24.5	21.3
FDX (FedEx)	O	USD	316.54	397.00	55.8%	USD	0.00	20.81	22.82		15.2	13.9
UPS (United Parcel)	O	USD	103.01	131.00	1.4%	USD	7.16	7.30	8.66	14.4	14.1	11.9
CHRW (CH Robinson)	M	USD	145.20	151.00	(6.8)%	USD	5.09	6.18	6.68	28.5	23.5	21.8
JBHT (JB Hunt)	O	USD	260.22	329.00	60.9%	USD	6.14	7.52	10.18	42.3	34.6	25.6
SPX			7,666.60									
EDME			1,602.47									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CNH, SIE.GR, KNEBV.FH, SCHP.SW, ASSAB.SS estimate is Reported EPS; LGN, TTAM estimate is EBITDA (M); ATCOA.SS estimate is Adjusted EPS FCF (M); CNH, KNEBV.FH, SCHP.SW valuation is Reported P/E (x); LGN, TTAM valuation is EV/EBITDA (x); PH, FDX base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

US Multis: We rate VRT Outperform (TP \$368), NVT Outperform (TP \$229), JCI Outperform (TP \$190), TT Outperform (TP \$575), CARR Market-Perform (TP \$78), HON Market-Perform (TP \$264), EMR Outperform (TP \$186), ROK Market-Perform (TP \$514), PH Outperform (TP \$1218), MMM Outperform (TP \$145), OTIS Outperform (TP \$90)

US Machinery: We maintain our Outperform rating(s) on: Trimble (TRMB, TP \$85), Jacobs (J, TP \$163), PACCAR (PCAR, TP \$148), Legence (LGN, \$103), Hubbell (HUBB, \$584), Eaton (ETN, \$534) and United Rentals (URI, \$1,317). We maintain our Market-Perform rating(s) on AGCO (TP \$108), Caterpillar (CAT, TP \$1,002), Deere (DE, TP \$615), Cummins (CMI, TP \$700), Titan America (TTAM, \$17) and Oshkosh (OSK, TP \$138), CNH Industrial (CNH, PT 11) and Quanta (PWR, TP \$748).

US Business Services: We rate Ferguson Outperform with a \$325 TP. We rate Fastenal Underperform with a \$42 TP. We rate Grainger Market-Perform with a \$1,250 TP.

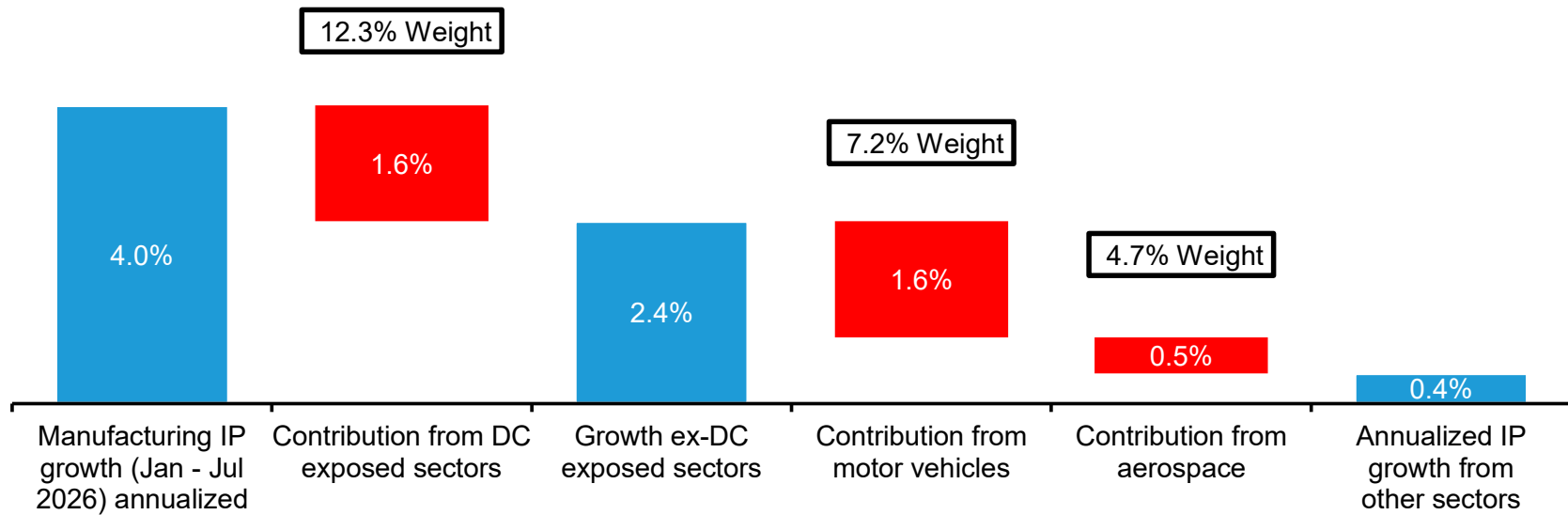
European Capital Goods: We rate Siemens (PT €330), Schneider (PT €350), Atlas Copco (PT SEK 240), Kone (PT €60), Legrand (PT €170), and Rexel (PT €44) Outperform. We rate Schindler (PT CHF 290), Nexans (PT €150), Prysmian (PT €145), and Assa Abloy (PT SEK 385) Market-Perform.

Airfreight & Surface Transportation: We rate UNP, NSC, FDX, UPS, JBHT Outperform; CSX, CNR.CN/CNI, CP.CN/CP, CHRW Market-Perform.

DETAILS

EXHIBIT 1: DCs / DC-adjacent submarkets drive majority of manufacturing IP growth

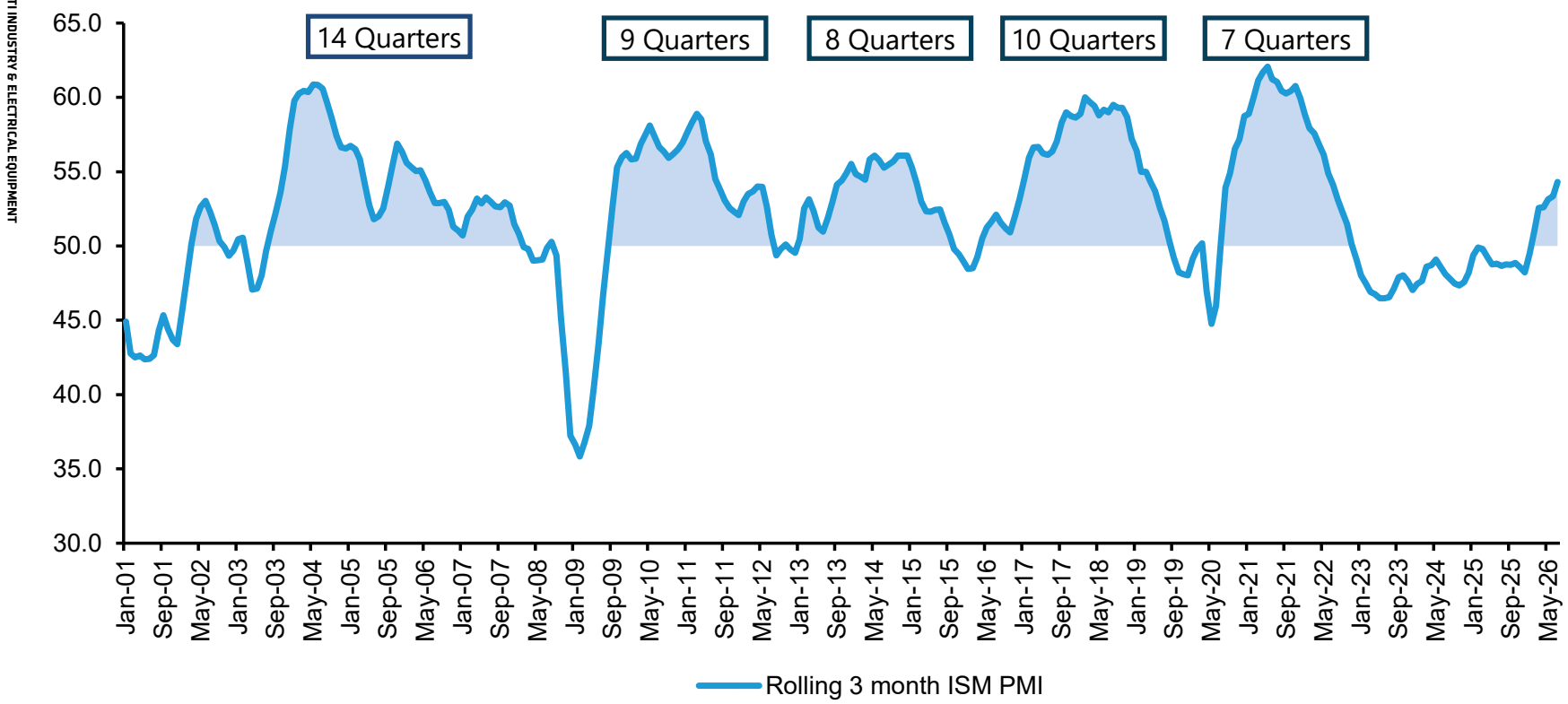
Six month growth in manufacturing IP (3 month rolling avg.)



1. DC exposed sectors includes computer and other electronics (includes semiconductors), HVAC, metalworking, power transmission machinery, construction machinery, batteries and other electrical equipment, & cement and concrete products. 2. Motor vehicle related - includes motor vehicle parts and automobile and light and heavy duty motor vehicle manufacturing

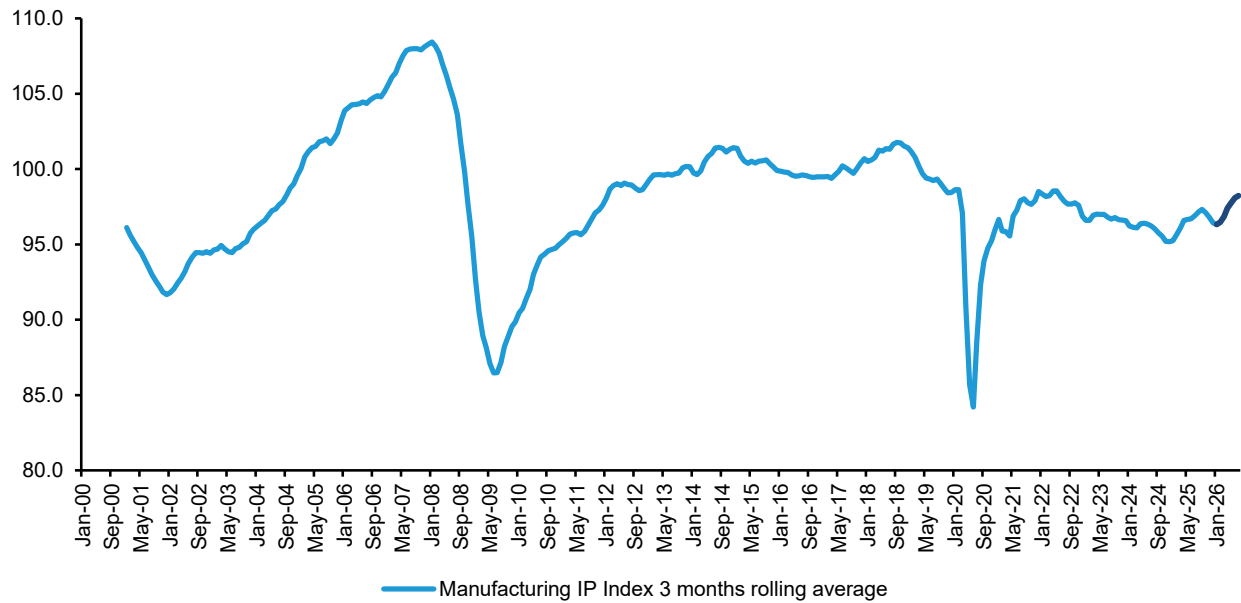
Source: Federal Reserve, Bernstein analysis

EXHIBIT 2: **ISM PMI**



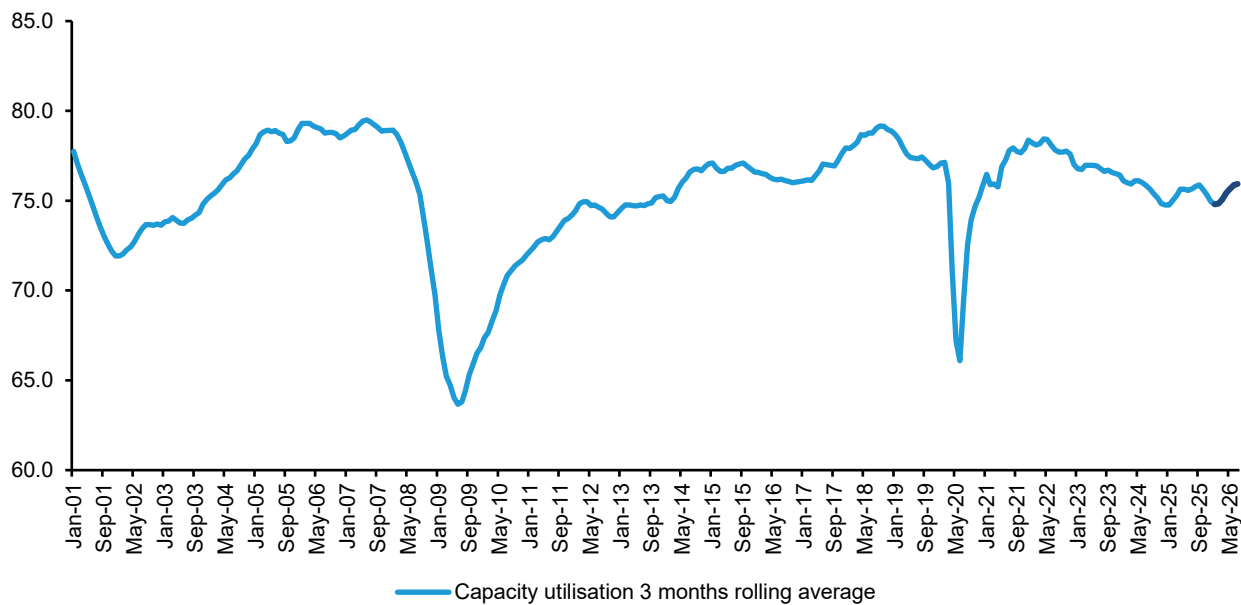
Source: Bloomberg, Bernstein analysis

EXHIBIT 3: **Manufacturing IP 3 month rolling**



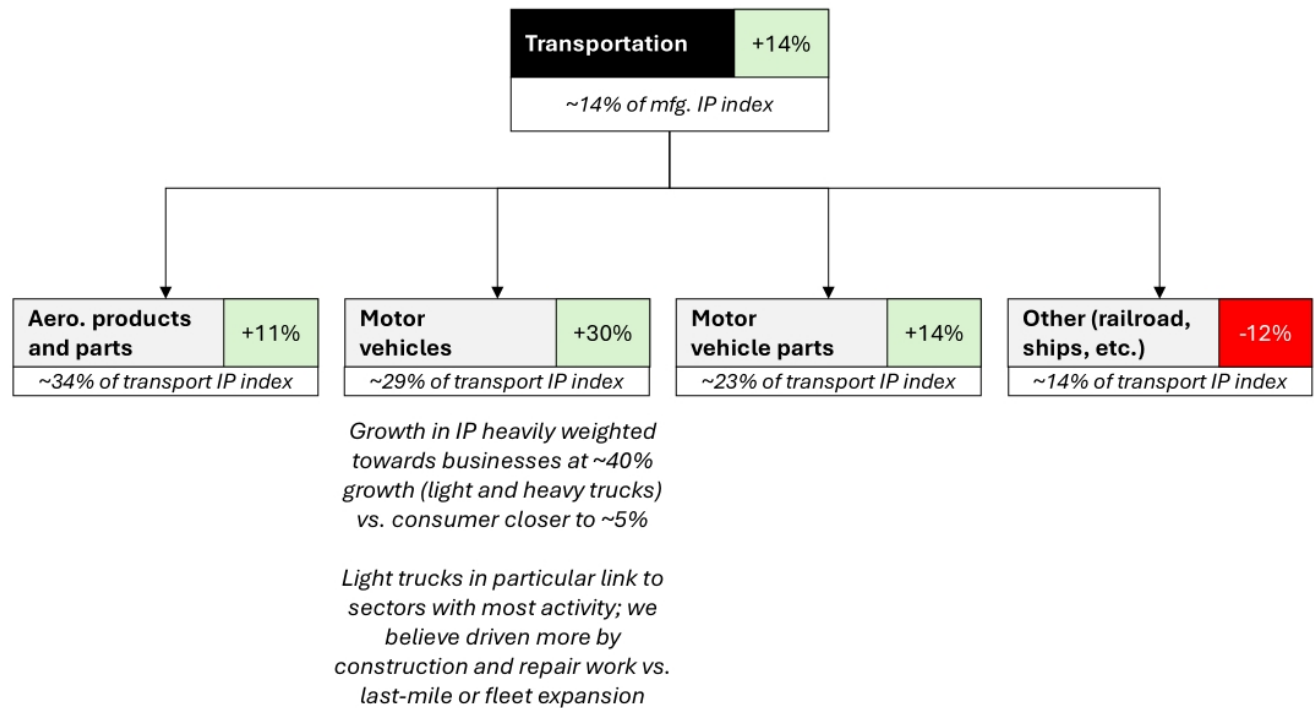
Source: Federal Reserve, Bernstein analysis

EXHIBIT 4: **Manufacturing capacity utilisation 3 months rolling average**



Source: Federal Reserve, Bernstein analysis

EXHIBIT 5: Transportation IP constituents

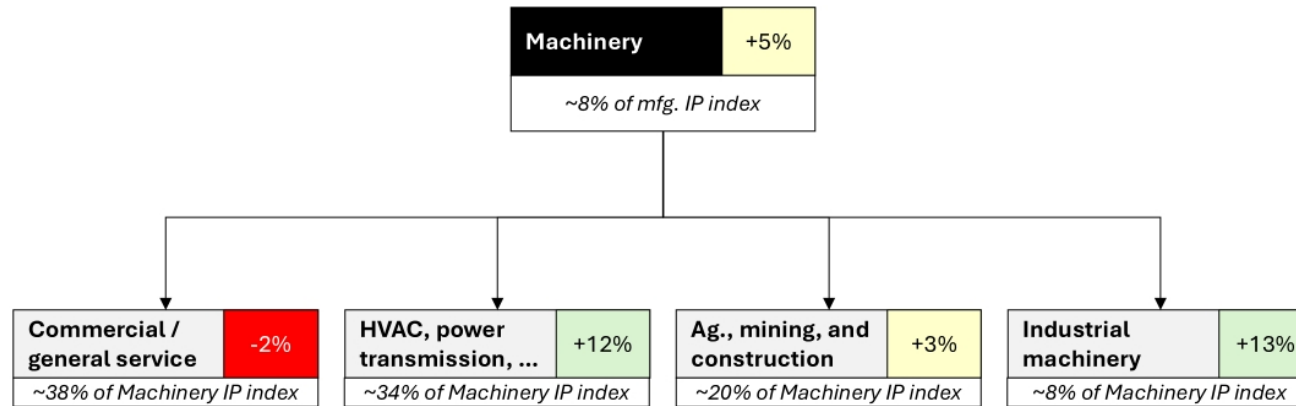


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Source: Federal reserve, Bernstein analysis

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EXHIBIT 6: Machinery IP constituents



HVAC IP growth 12% over last 6 months annualized; some drag from resi. given pace of commercial growth (particularly DCs) has been much higher

Engine, turbine, power transmission growth at 18% annualized (also heavily driven by DC growth looking at CAT/CMI/GEV)

Agricultural implement manufacturing has shown degrowth of 1%, while Mining and Construction machinery has shown growth of 6% and 7% annualized respectively over last 6 months.

EXHIBIT 7: **Electrical equipment IP constituents**

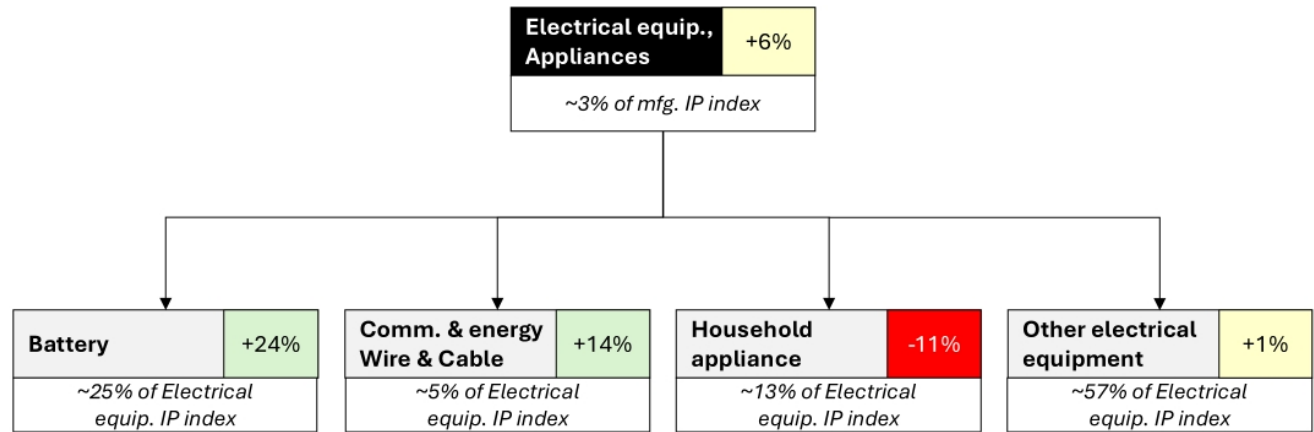


EXHIBIT 8: Non metallic minerals IP constituents

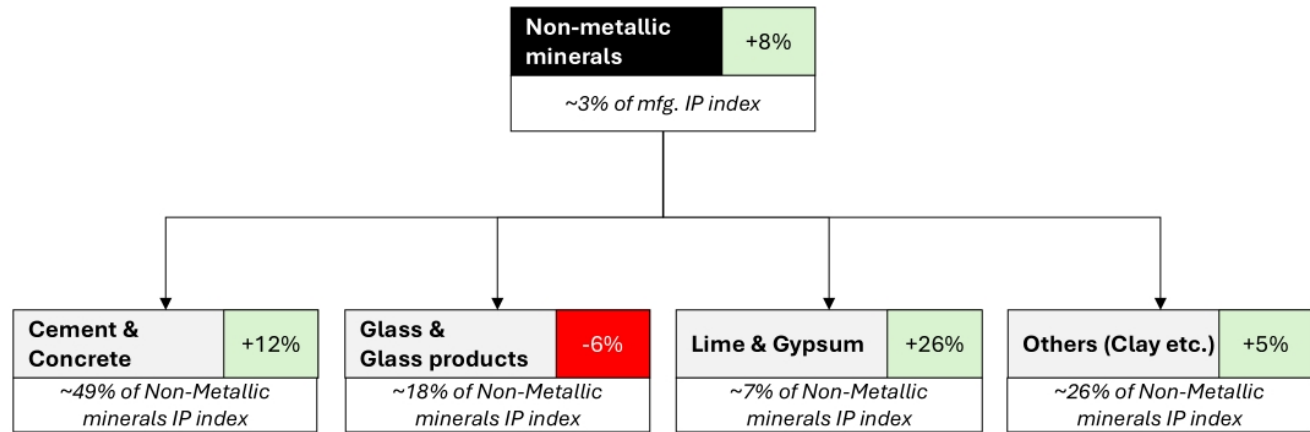
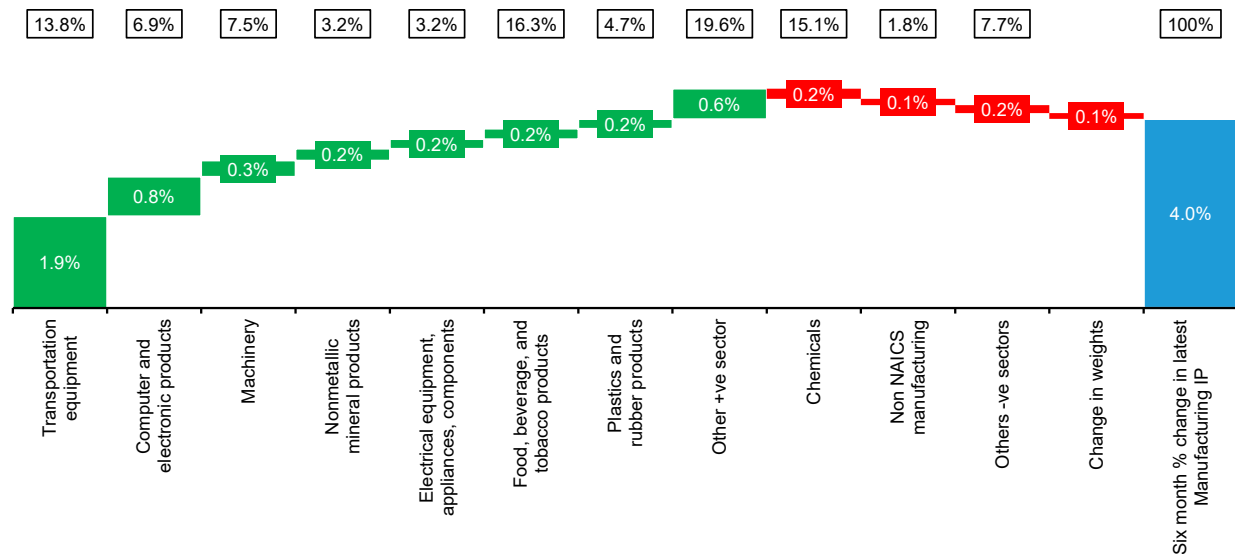


EXHIBIT 9: Key contributor to manufacturing IP growth

6 month growth in latest manufacturing IP (3 month rolling avg.), Weights of individual component mentioned at the top

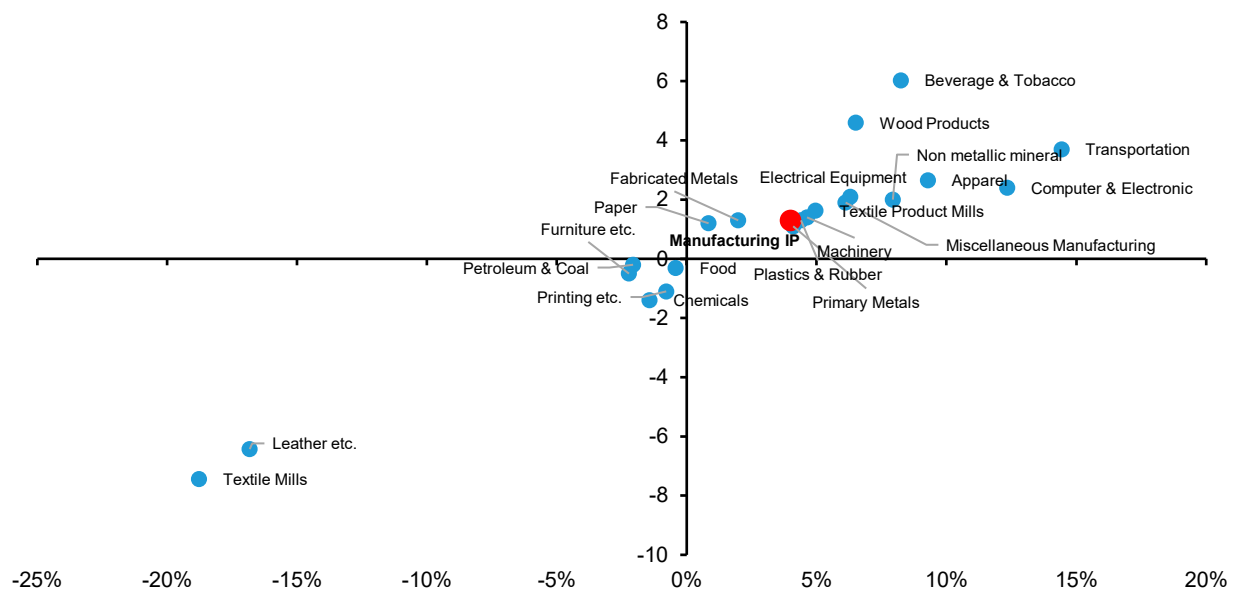


1. Other +ve sectors - Fabricated metal products (0.17%), Primary metals (0.13%), Wood products (0.13%), Paper (0.02%) , Misc. (0.19%).

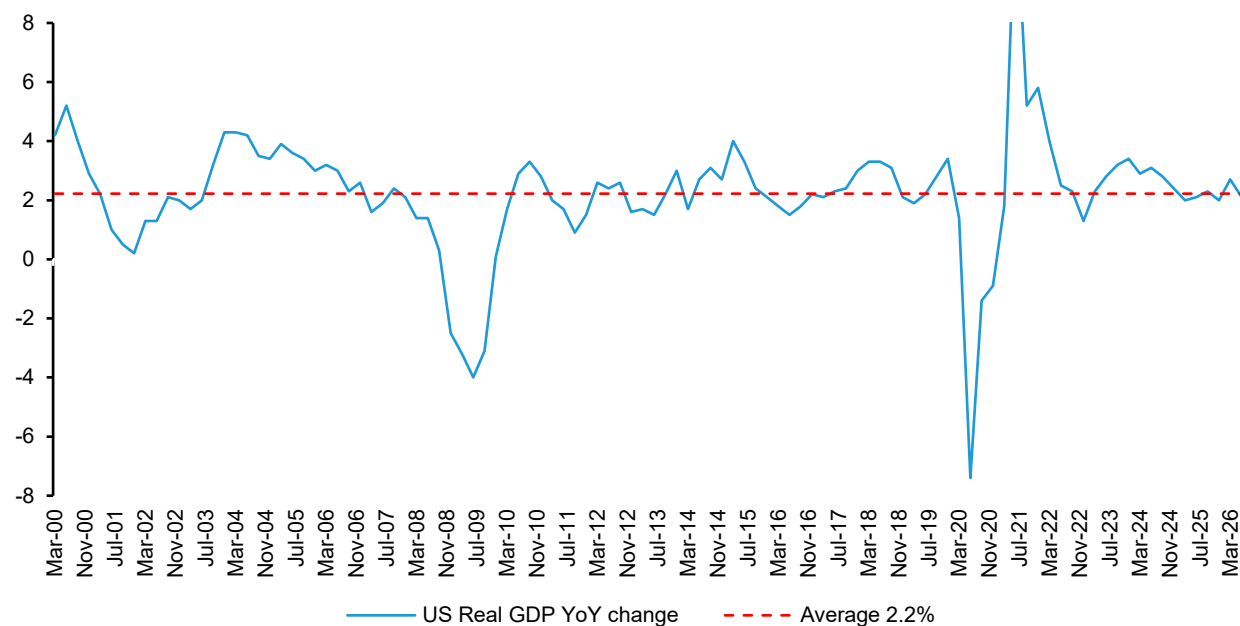
2. Other -ve sectors - Petroleum and coal products (0.08%), Furniture and related products (0.03%), Textile and product mills (0.04%), Printing and support (0.01%)
Source: Federal Reserve, Bernstein analysis

EXHIBIT 10: Capacity growth (Percentage point) Y axis vs Manufacturing IP growth 3 months rolling (%) X axis

6 month change



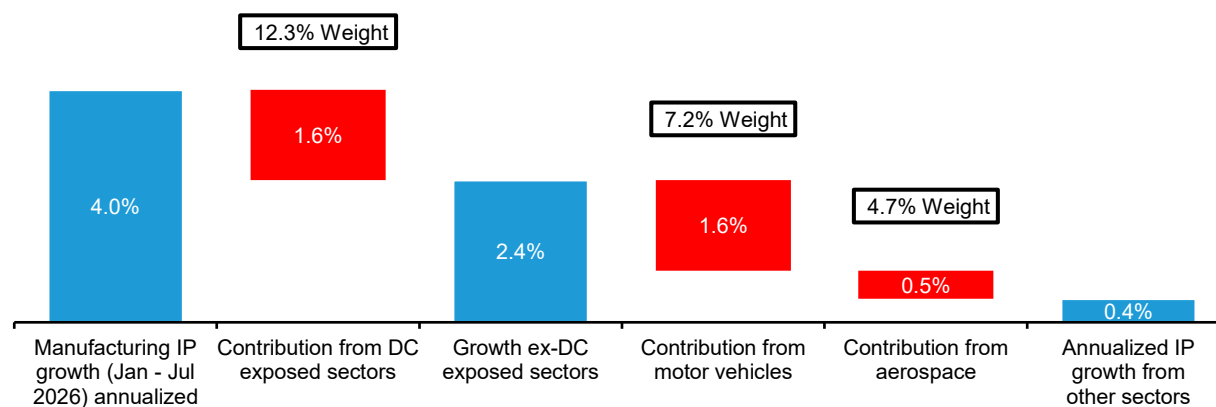
Source: Federal Reserve, Bernstein analysis

EXHIBIT 11: **US real GDP YoY change**

Source: Federal Reserve, Bernstein analysis

EXHIBIT 12: **DCs / DC-adjacent submarkets drive majority of manufacturing IP growth**

Six month growth in latest manufacturing IP (3 month rolling avg.)

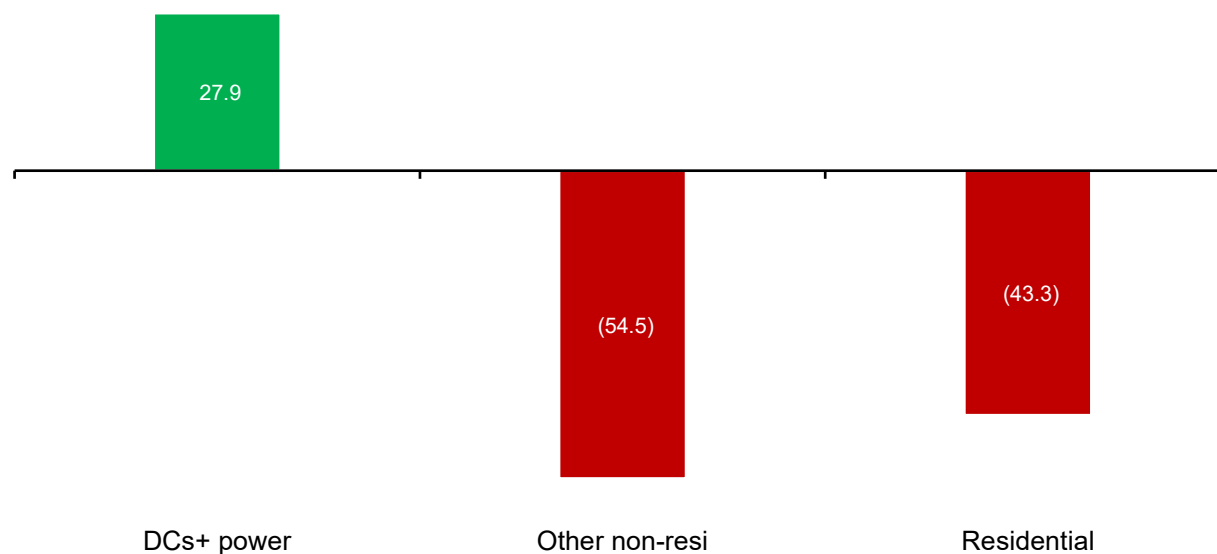


1. DC exposed sectors includes computer and other electronics (includes semiconductors), HVAC, metalworking, power transmission machinery, construction machinery, batteries and other electrical equipment, & cement and concrete products. 2. Motor vehicle related - includes motor vehicle parts and automobile and light and heavy duty motor vehicle manufacturing

Source: Federal Reserve, Bernstein analysis

EXHIBIT 13: **Construction spend (June '26 vs. June '25; seasonally adjusted)**

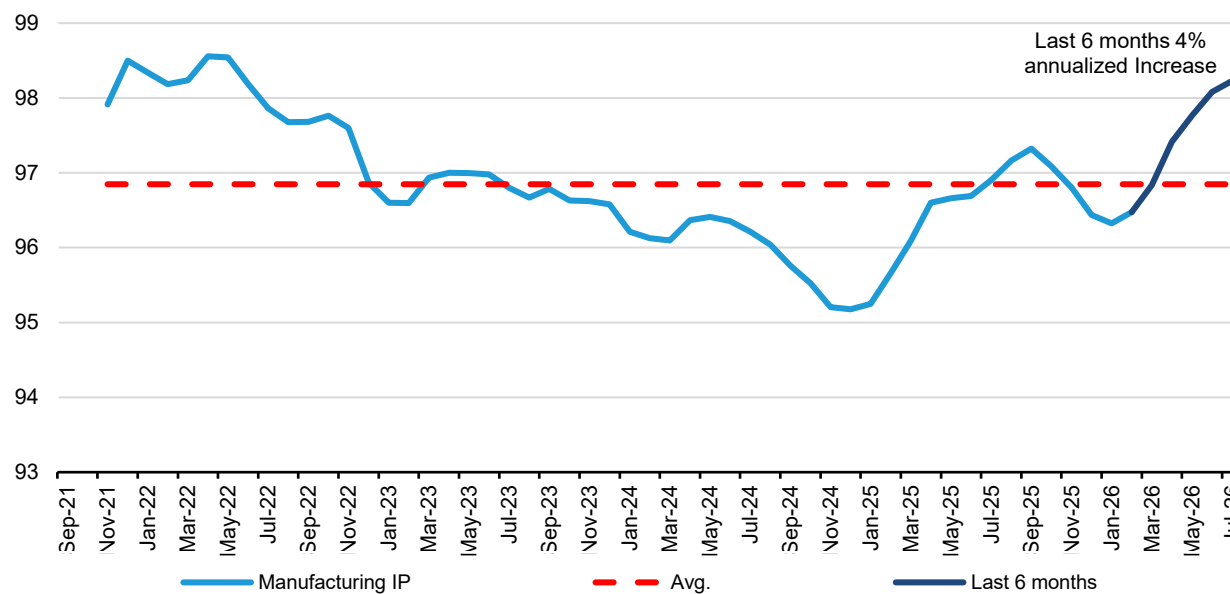
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Source: US census bureau, Bernstein analysis

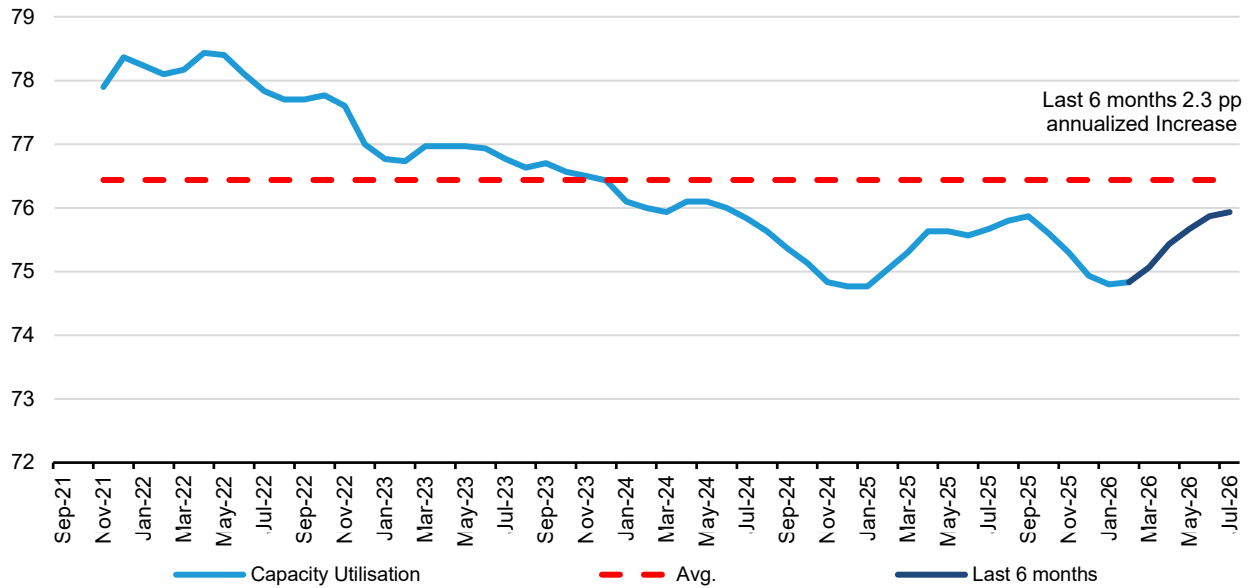
EXHIBIT 14: **Manufacturing IP 3 months rolling**

IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

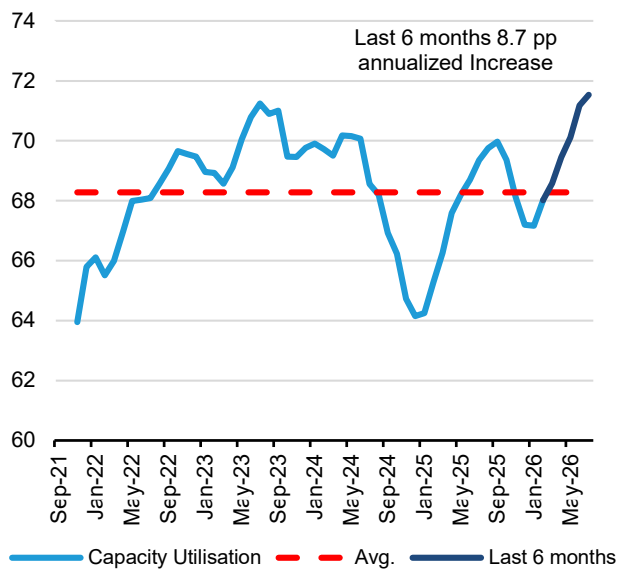
EXHIBIT 15: **Capacity utilisation 3 months rolling average**



Source: Federal Reserve, Bernstein analysis

EXHIBIT 16: **Transportation equipment capacity utilisation**

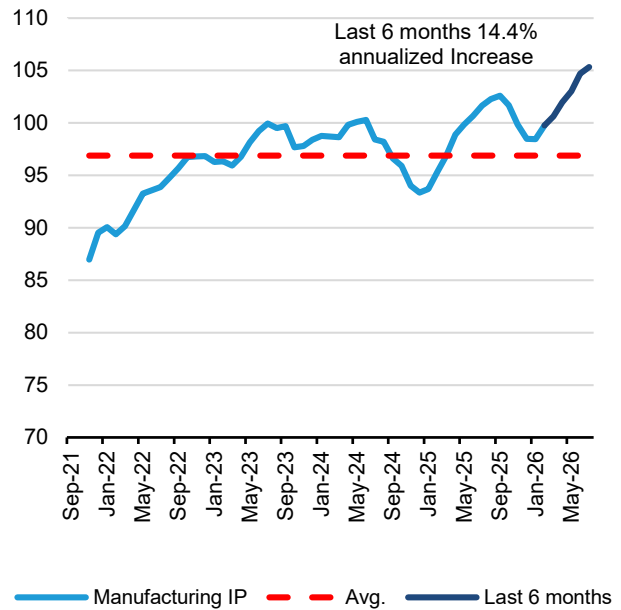
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 17: **Transportation equipment IP**

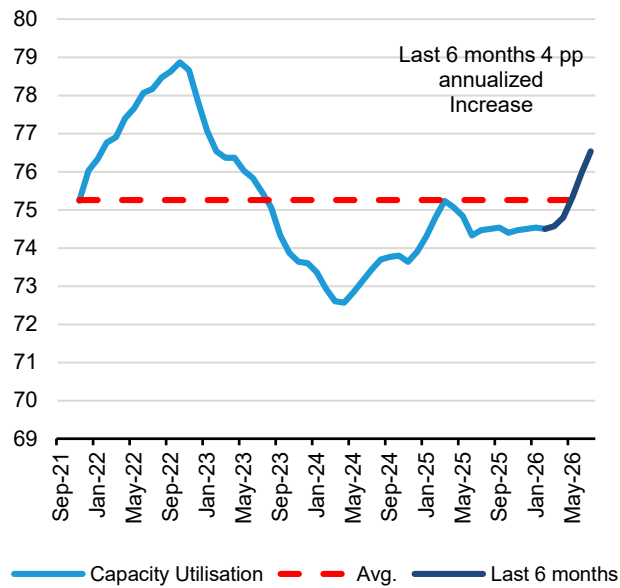
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 18: Computer & electronics capacity utilisation

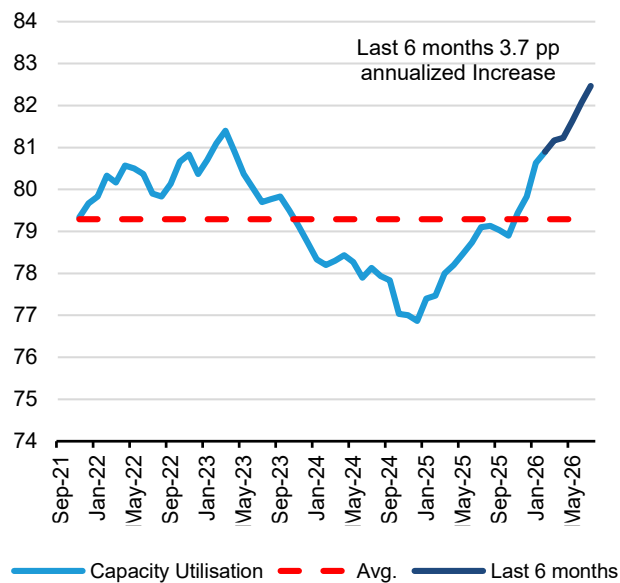
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 20: Machinery capacity utilisation

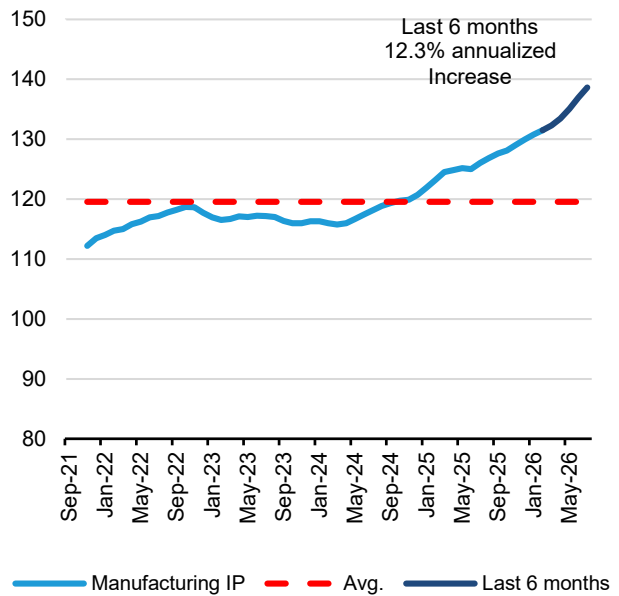
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 19: Computer & electronics capacity IP

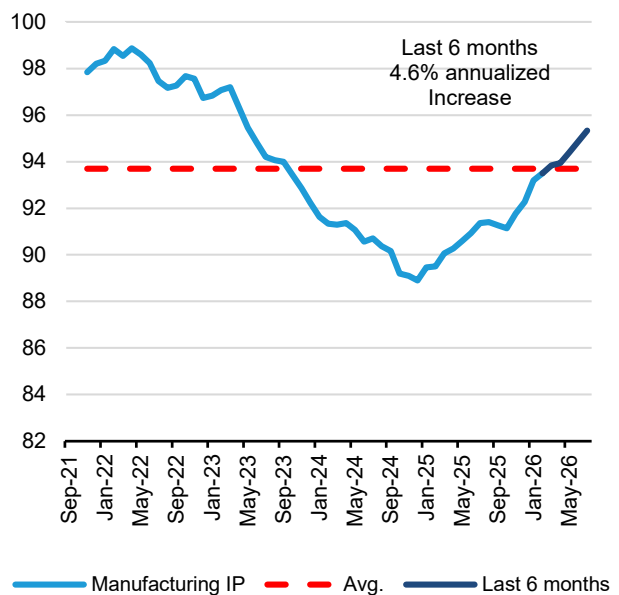
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 21: Machinery capacity IP

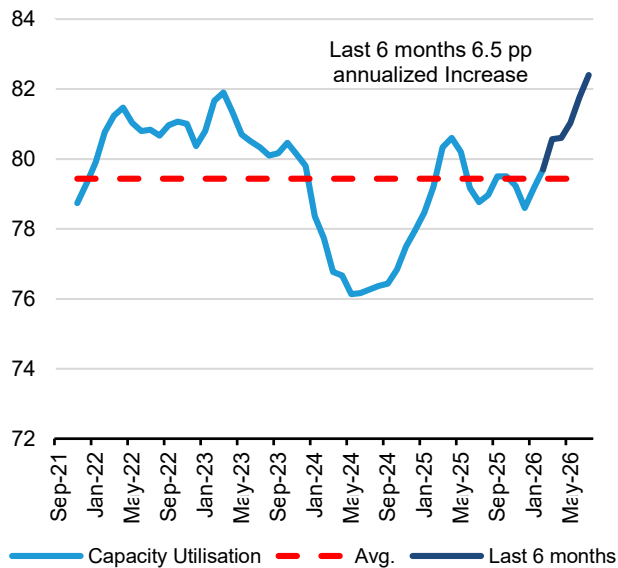
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 22: Non metallic mineral products capacity utilisation

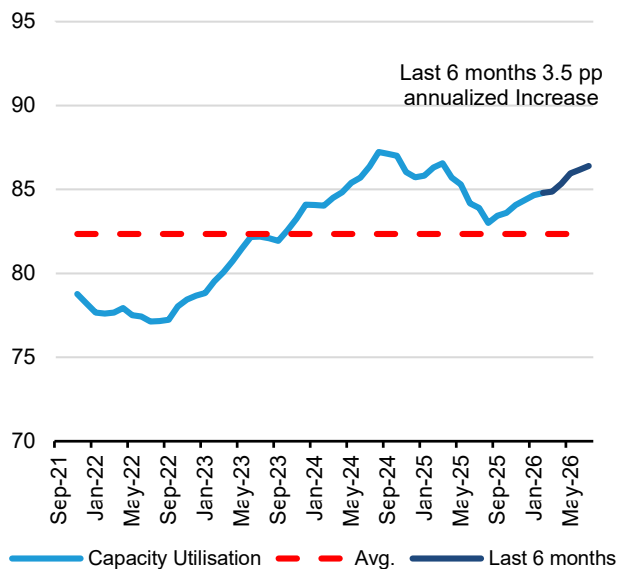
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 24: Electrical equipment & appliances capacity utilisation

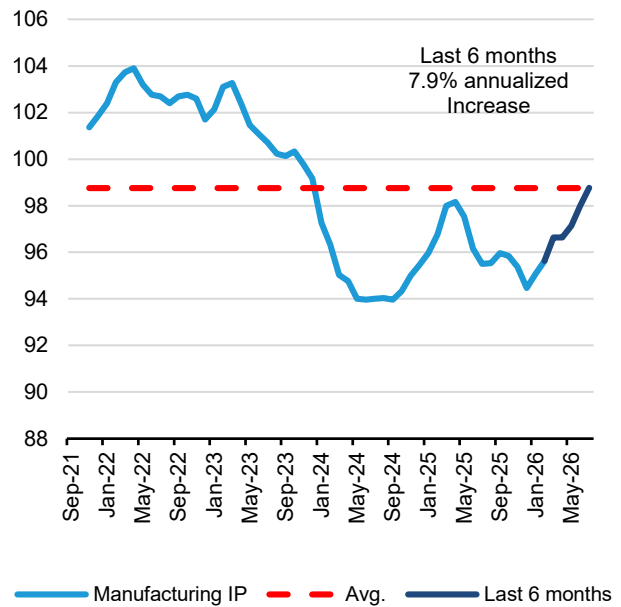
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 23: Non metallic mineral products IP

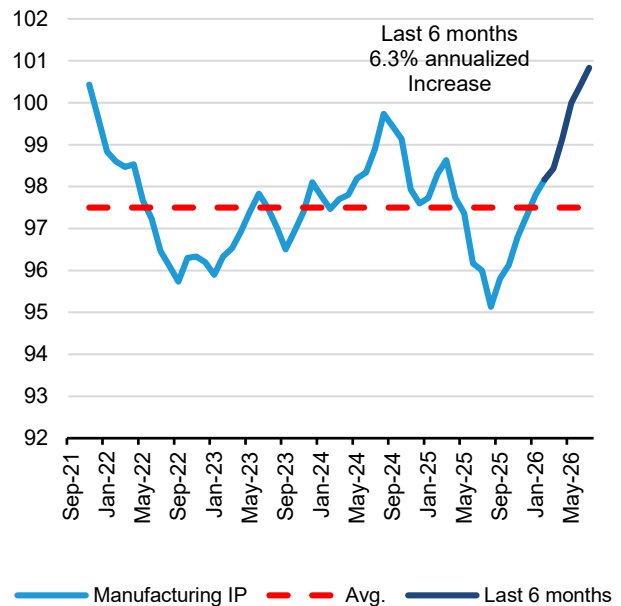
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 25: Electrical equipment & appliances IP

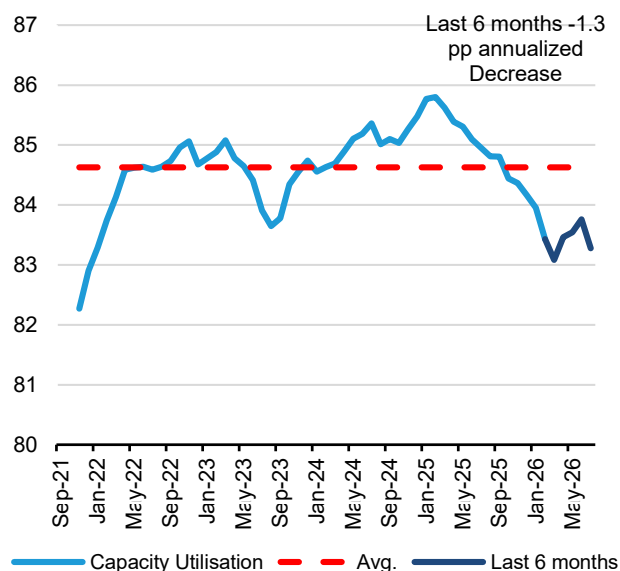
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 26: Food capacity utilisation

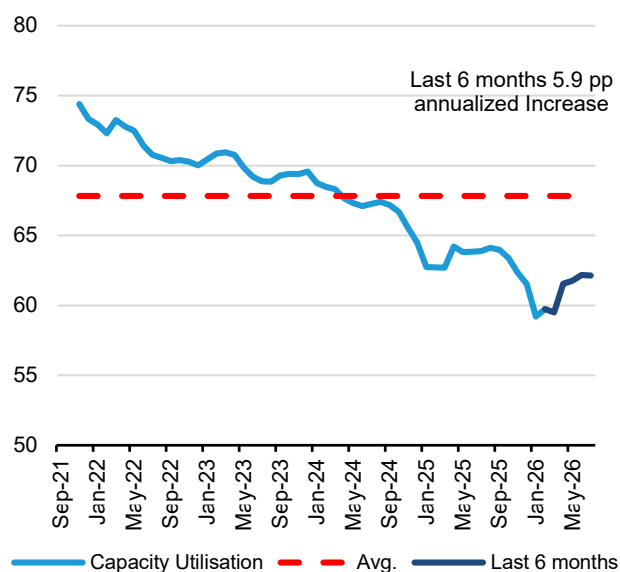
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 28: Beverage & tobacco capacity utilisation

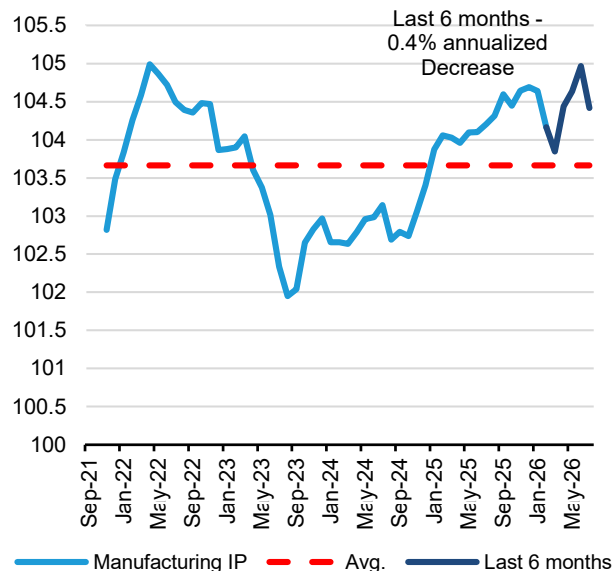
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 27: Food IP

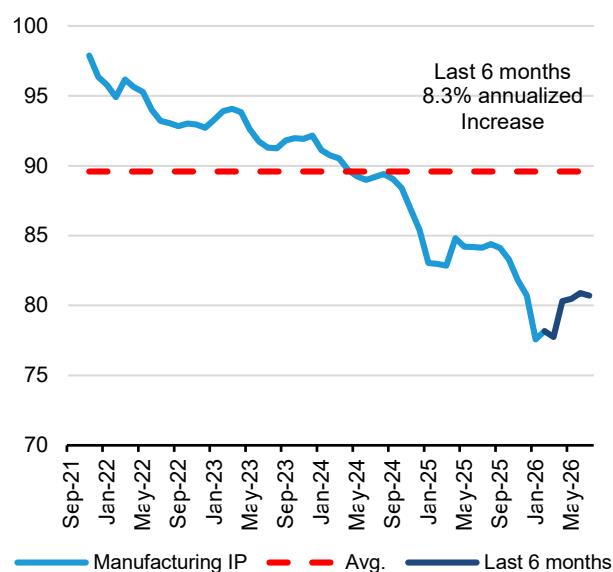
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 29: Beverage & tobacco IP

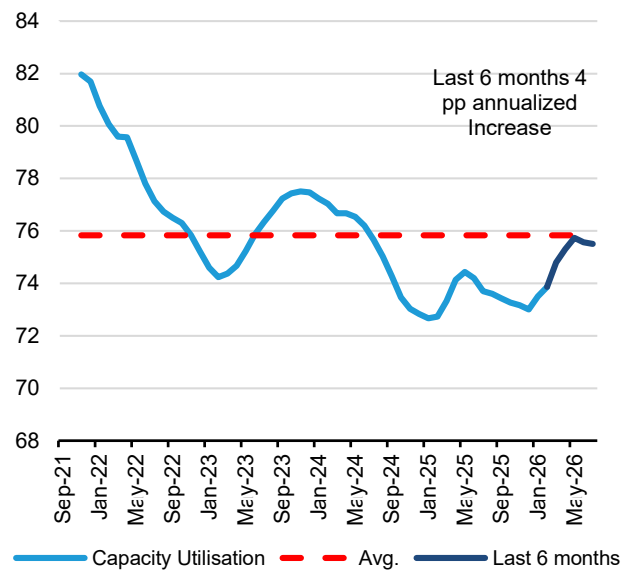
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 30: Plastic & Rubber capacity utilisation

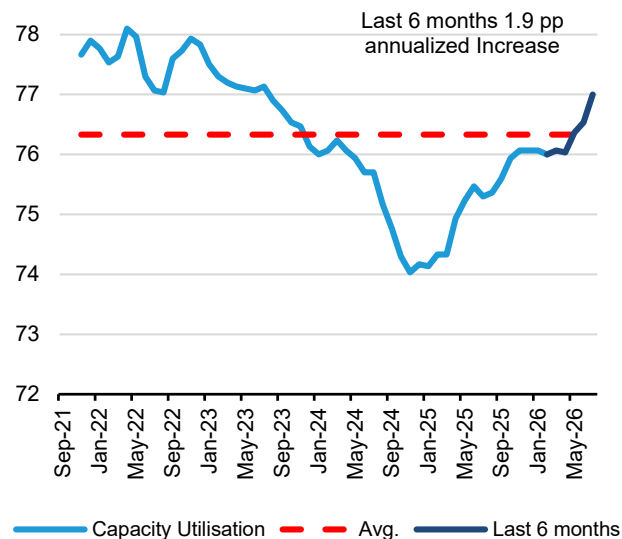
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 32: Fabricated metal products capacity utilisation

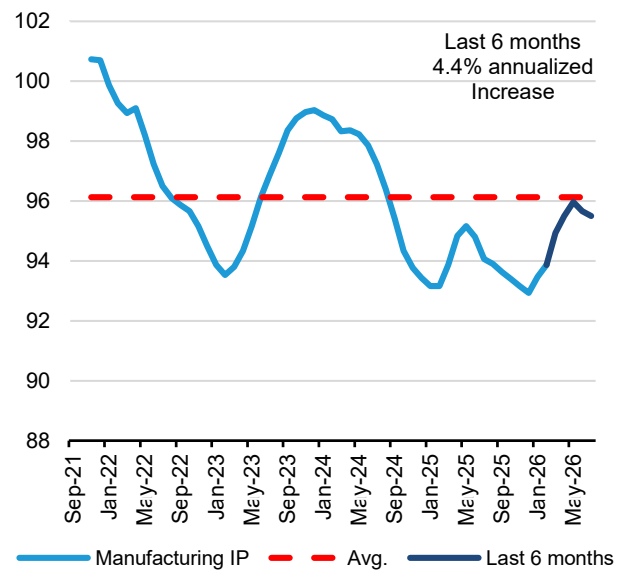
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 31: Plastic & rubber IP

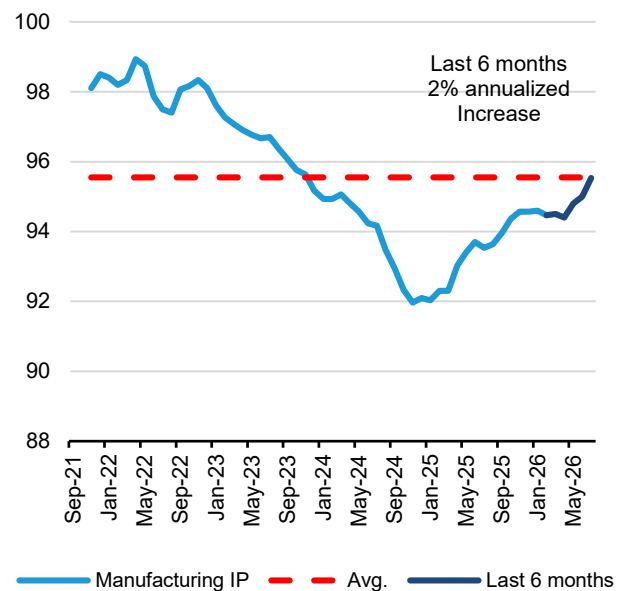
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 33: Fabricated metal products IP

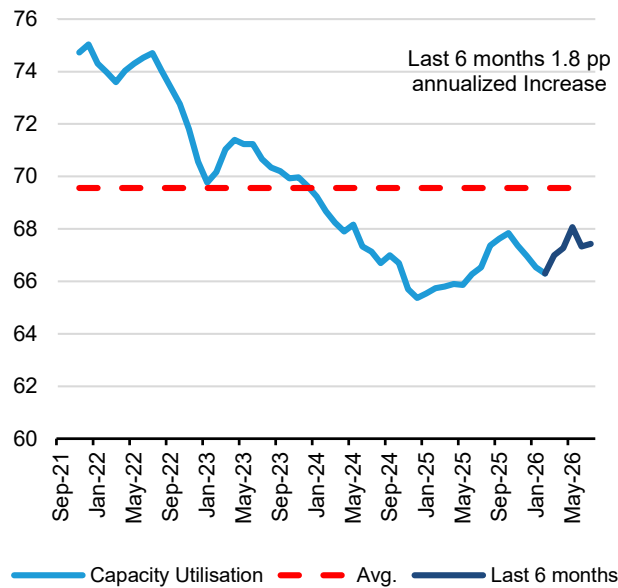
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 34: Primary metal capacity utilisation

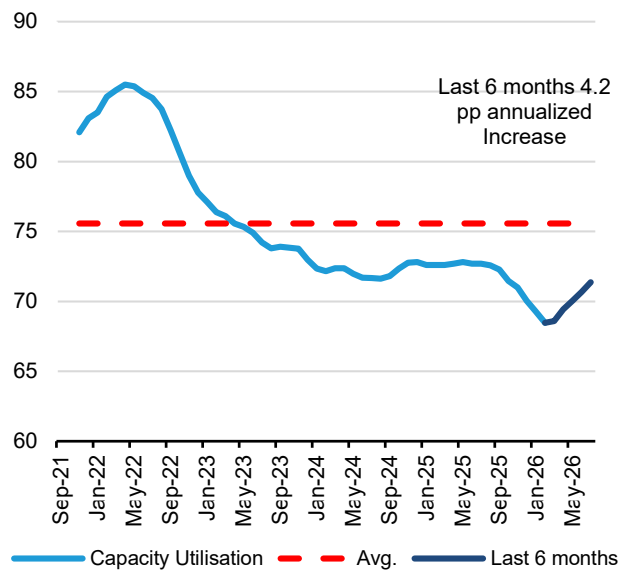
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 36: Wood products capacity utilisation

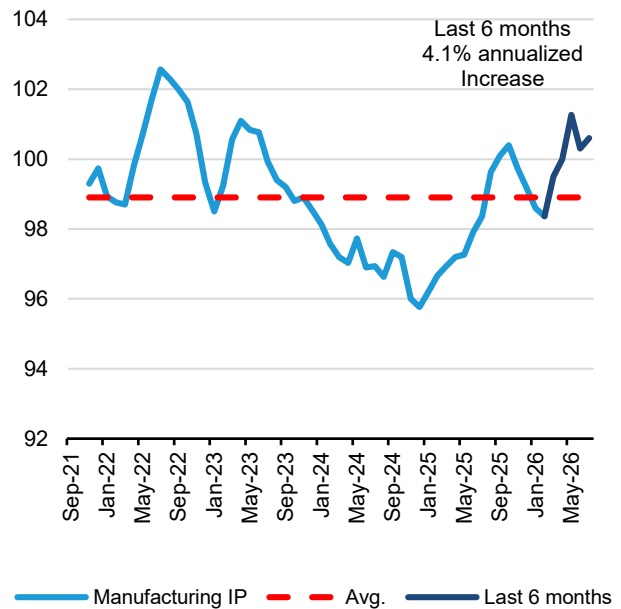
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 35: Primary metal IP

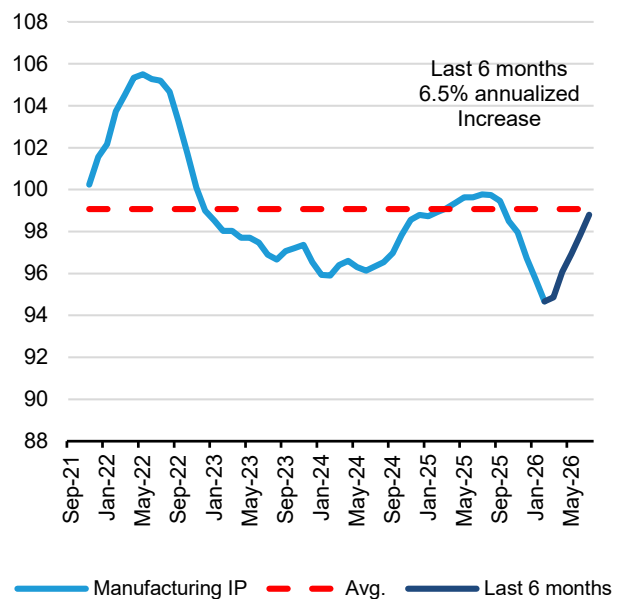
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 37: Wood products IP

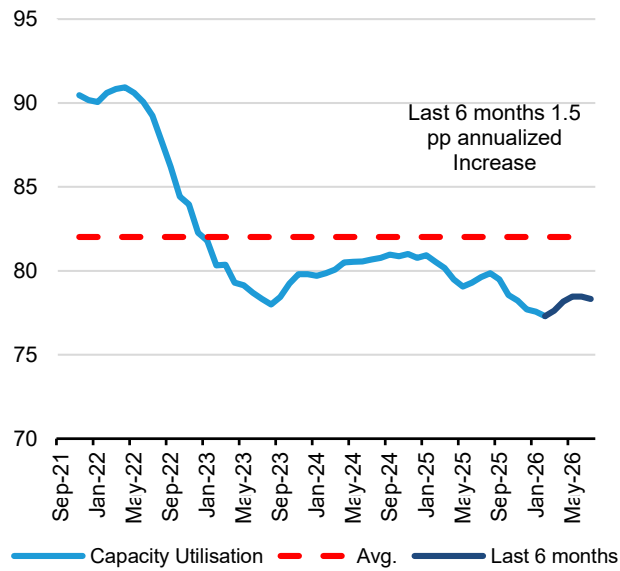
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 38: Paper capacity utilisation

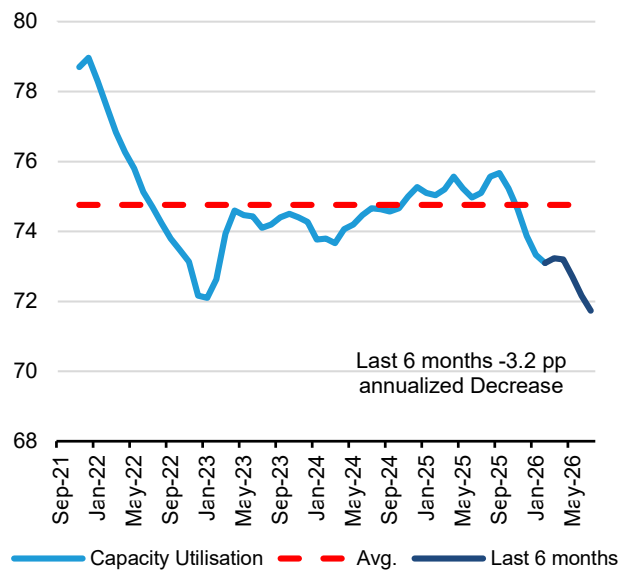
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 40: Chemicals capacity utilisation

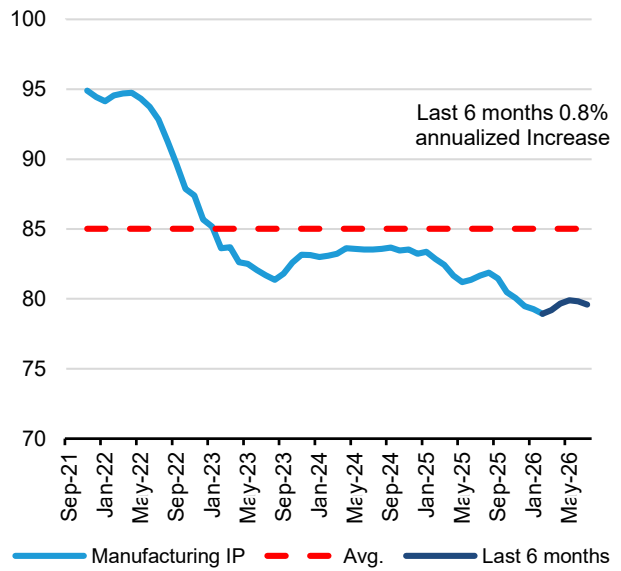
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 39: Paper IP

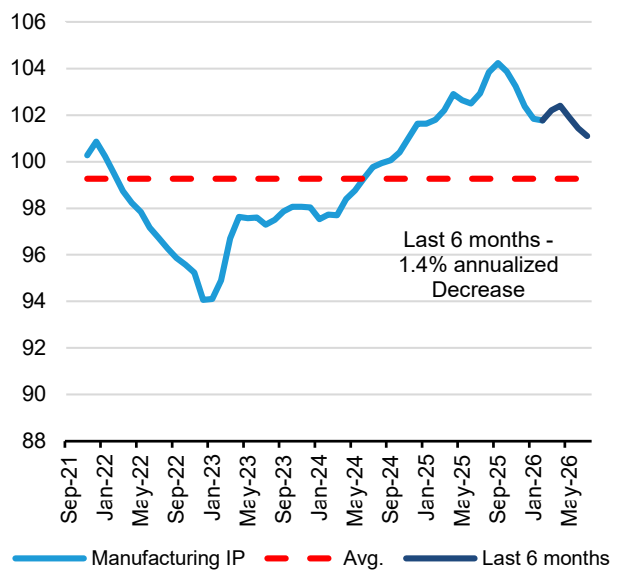
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 41: Chemicals IP

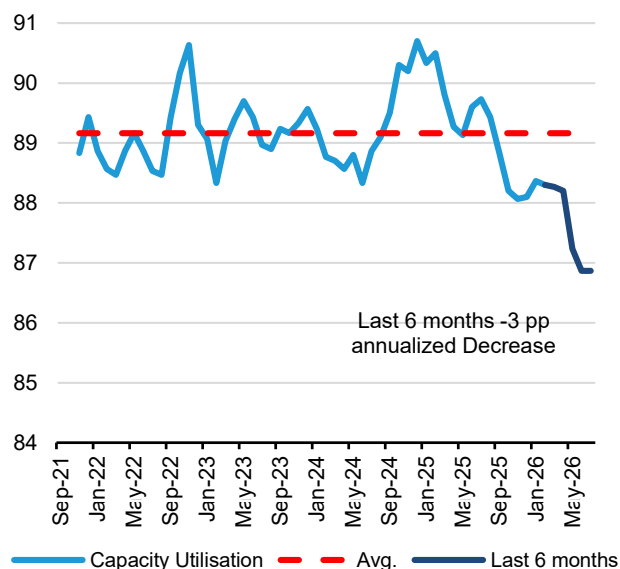
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 42: Petroleum & Coal capacity utilisation

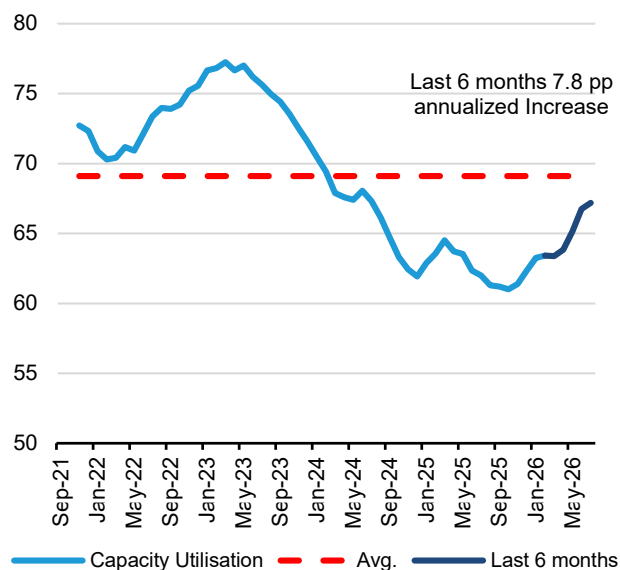
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 44: Apparel capacity utilisation

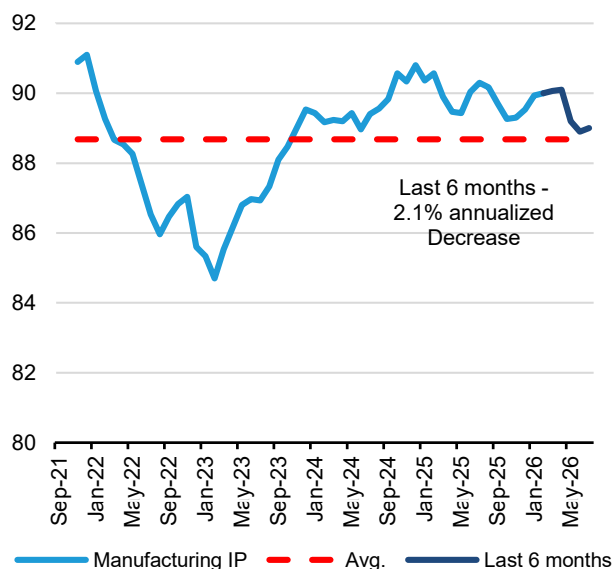
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 43: Petroleum & Coal IP

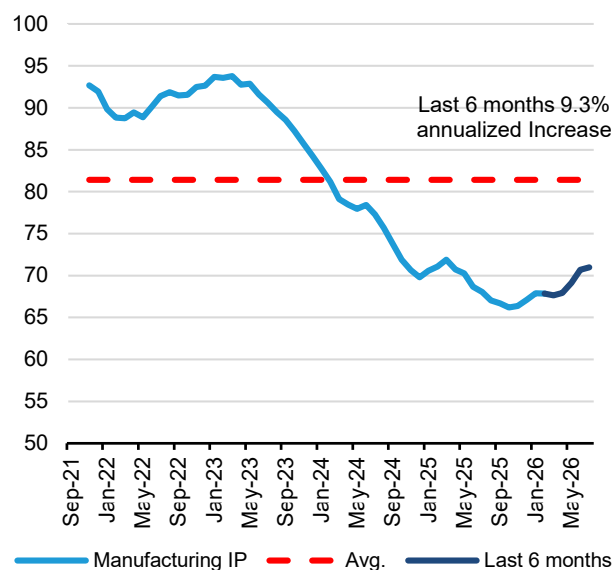
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 45: Apparel IP

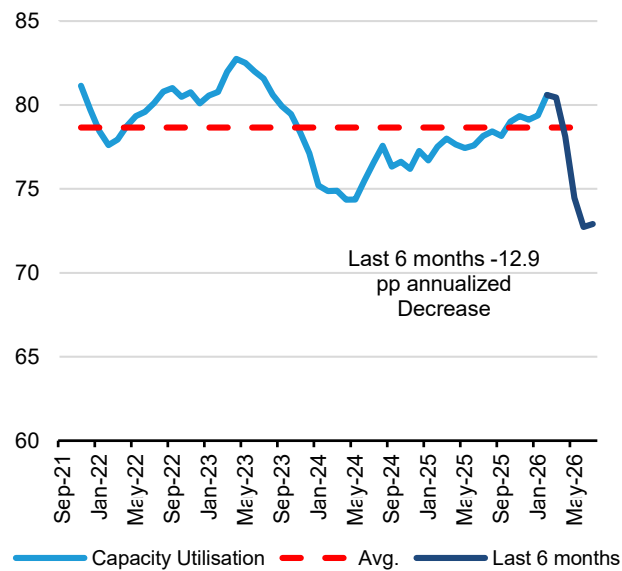
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 46: Leather capacity utilisation

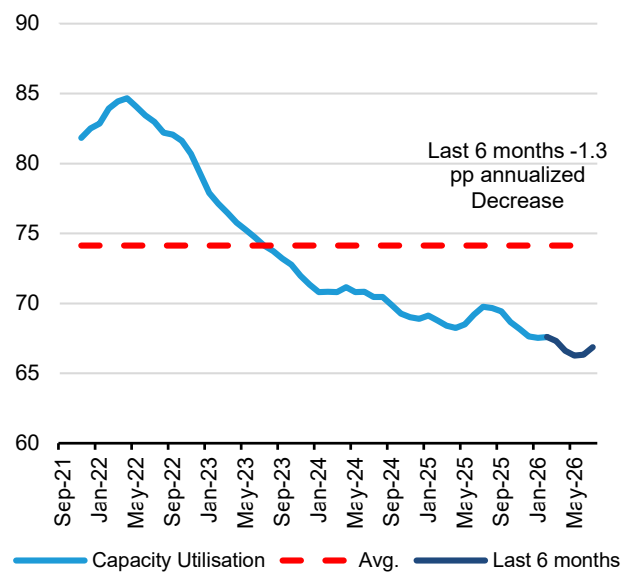
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 48: Furniture and related capacity utilisation

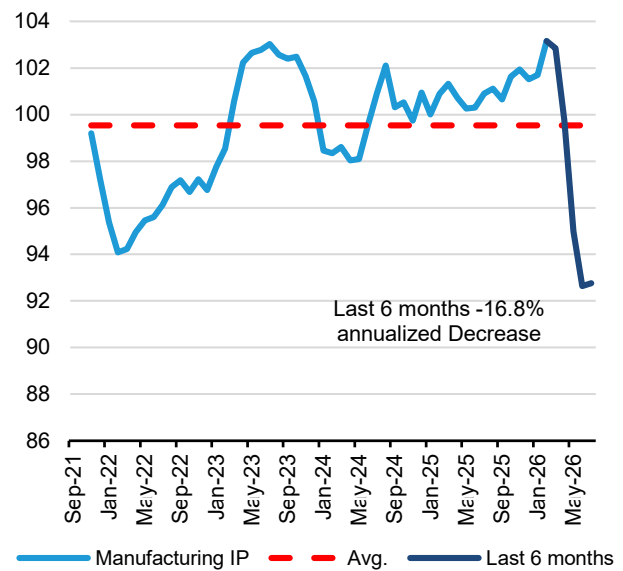
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 47: Leather IP

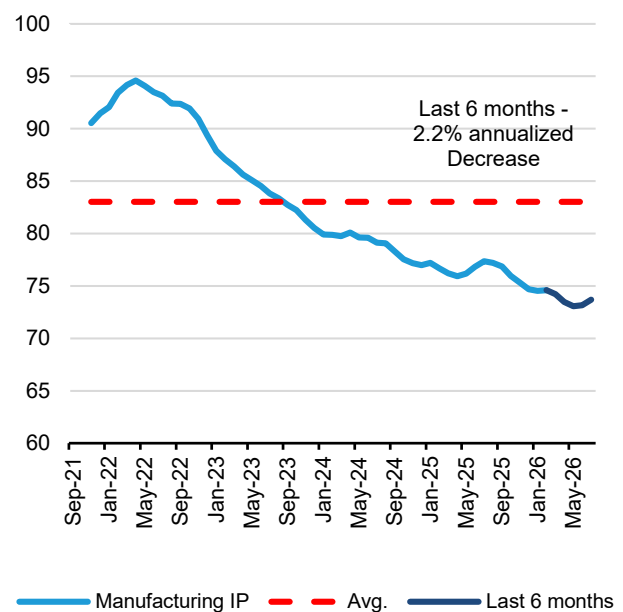
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 49: Furniture IP

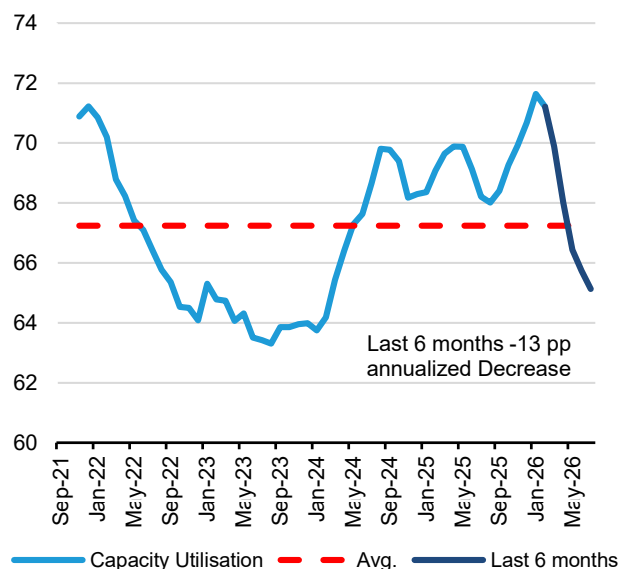
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 50: Textile mills capacity utilisation

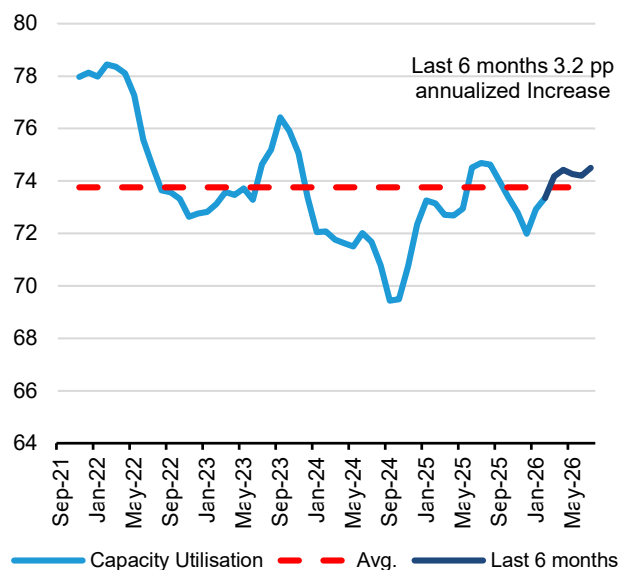
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 52: Textile product mills capacity utilisation

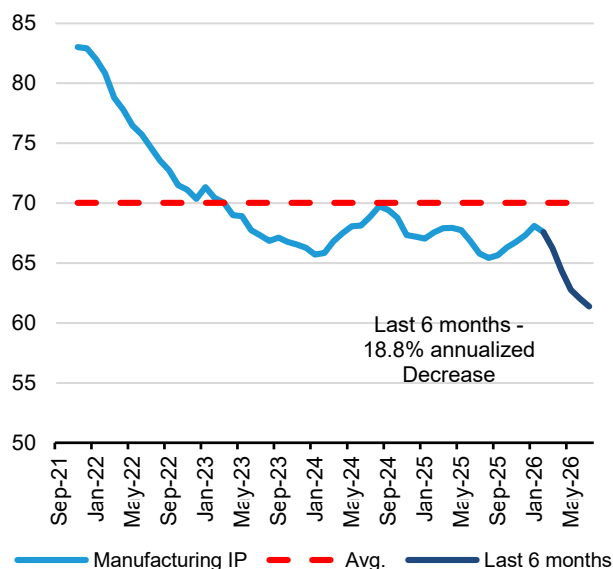
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 51: Textile mills IP

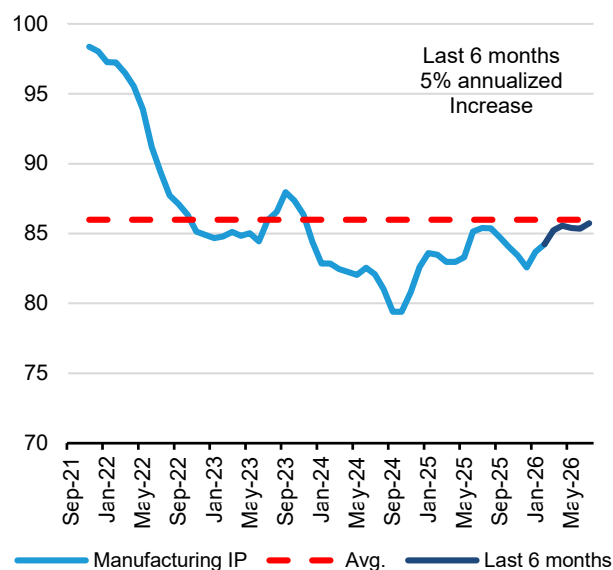
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 53: Textile product mills IP

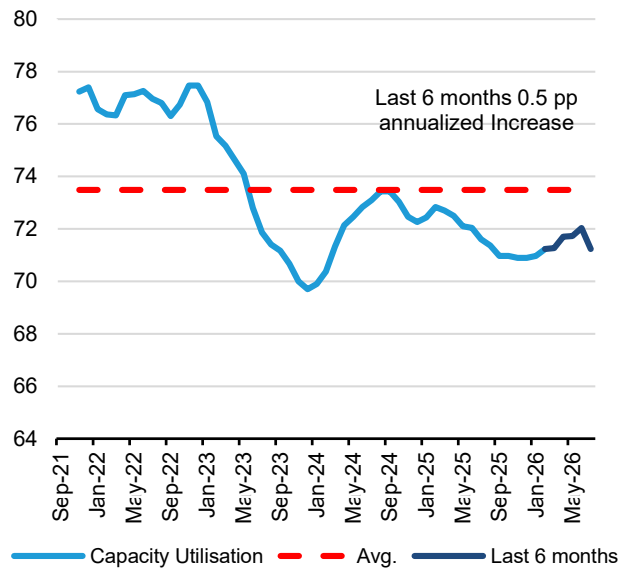
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 54: Printing & related capacity utilisation

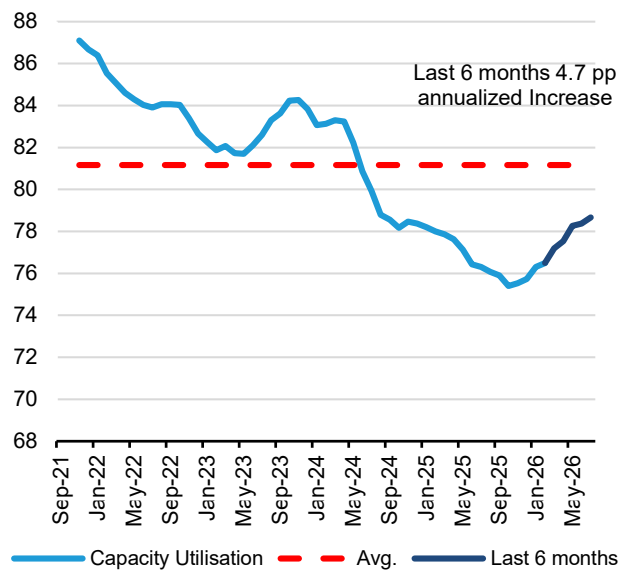
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 56: Misc. Manufacturing capacity utilisation

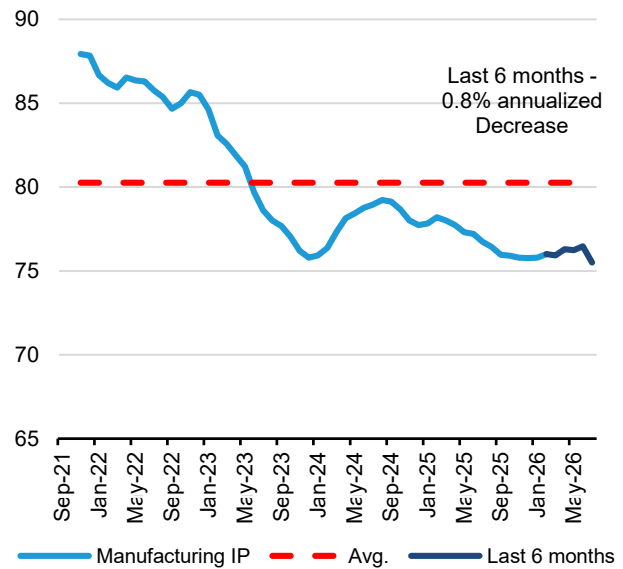
Rolling 3 months



Source: Federal Reserve, Bernstein analysis

EXHIBIT 55: Printing & related IP

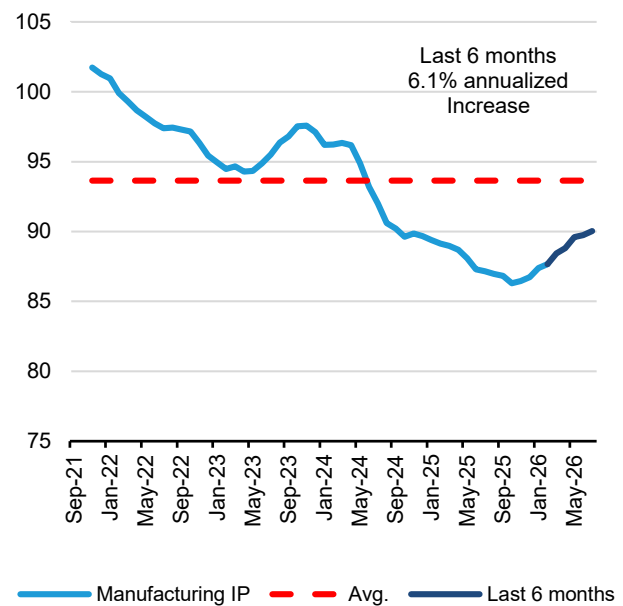
Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

EXHIBIT 57: Misc. Manufacturing IP

Rolling 3 months, IP Index 2017 = 100



Source: Federal Reserve, Bernstein analysis

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